

doesn't particularly matter what caused the change. What matters is that things clearly changed.

To show how these historic changes should affect investing decisions, consider the work of a man many believe to be one of the greatest investment minds of all time: Benjamin Graham.

Graham's classic book, *The Intelligent Investor*, is more than theory. It gives practical directions like formulas investors can use to make smart investing decisions.

I read Graham's book when I was a teenager, learning about investing for the first time. The formulas presented in the book were appealing to me, because they were literally step-by-step instructions on how to get rich. Just follow the instructions. It seemed so easy.

But something becomes clear when you try applying some of these formulas: few of them actually work.

Graham advocated purchasing stocks trading for less than their net working assets—basically cash in the bank minus all debts. This sounds great, but few stocks actually trade that cheaply anymore—other than, say, a penny stock accused of accounting fraud.

One of Graham's criteria instructs conservative investors to avoid stocks trading for more than 1.5 times book value. If you followed this rule over the last decade you would have owned almost nothing but insurance and bank stocks. There is no world where that is OK.

*The Intelligent Investor* is one of the greatest investing books of all time. But I don't know a single investor who has done well implementing Graham's published formulas. The book is full of wisdom—perhaps more than any other investment book ever published. But as a how-to guide, it's questionable at best.

What happened? Was Graham a showman who sounded good but whose advice didn't work? Not at all. He was a wildly successful investor himself.

But he was practical. And he was a true contrarian. He wasn't so wedded to investing ideas that he'd stick with them when too many other investors caught onto those theories, making them so popular as to render their potential useless. Jason Zweig—who annotated a later version of Graham's book—once wrote: